

Year	Free Cash Flow (\$)	Present Value (\$) of Future Cash Flow
Excess cash		0
1	0	0
2	0	0
3	0	0
4	0	0
5	0	0
6	10,000	5,645
7	10,000	5,131
8	10,000	4,665
9	10,000	4,240
10	10,000	3,854
10	Sale price 50,000	19,277
Total		42,812

If you went to a horse race track and you were offered 90 percent odds of a 20 times return and a 10 percent chance of losing your money, would you take that bet? Heck Yes! You'd make that bet all day long, and it would make sense to bet a very large portion of your net worth with those spectacular odds. This is not a risk-free bet, but it is a very low-risk, high-return bet. Heads, I win; tails, I don't lose much!